instacart

Case Study

Instacart Agent Readiness – Product



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Imagine the AI assistant on your phone doing your weekly grocery shop. Where would it go wrong? Probably not in finding the products. It would go wrong in the small decisions a person makes without thinking: which milk to get when yours is sold out, what "2" means, whether an order was really wanted. This deck is how I would get Instacart ready for that, one question at a time.

My answers in short

1. **Why groceries?**
   People buy the same things every week, Instacart already knows their preferences, and mistakes are cheap to fix.
2. **The flashy board demo?**
   I'd build a demo, but on real work we keep, not a feature that gets thrown away in 3 months.
3. **Checkout or substitutions?**
   Substitutions. That's where the agent has to make a judgment call, and today it can't.
4. **"quantity: 2" confusion?**
   It's our API's fault. Make the unit required and have Instacart repeat back what it understood.
5. **Orders per month?**
   4 on its own (max 1 a week). A 5th just needs a quick tap. Trust grows step by step.
6. **"Should we be worried?"**
   Honestly, a little. Here's what could go wrong, what we're doing about it, and when we'd pause.

QUESTION 1 OF 6

Why start with groceries?

The question: Make the case for why groceries are a good place to start.

My answer

Because it's the most repetitive shopping people do, Instacart already stores their preferences, and a mistake usually costs a refund, not a disaster.

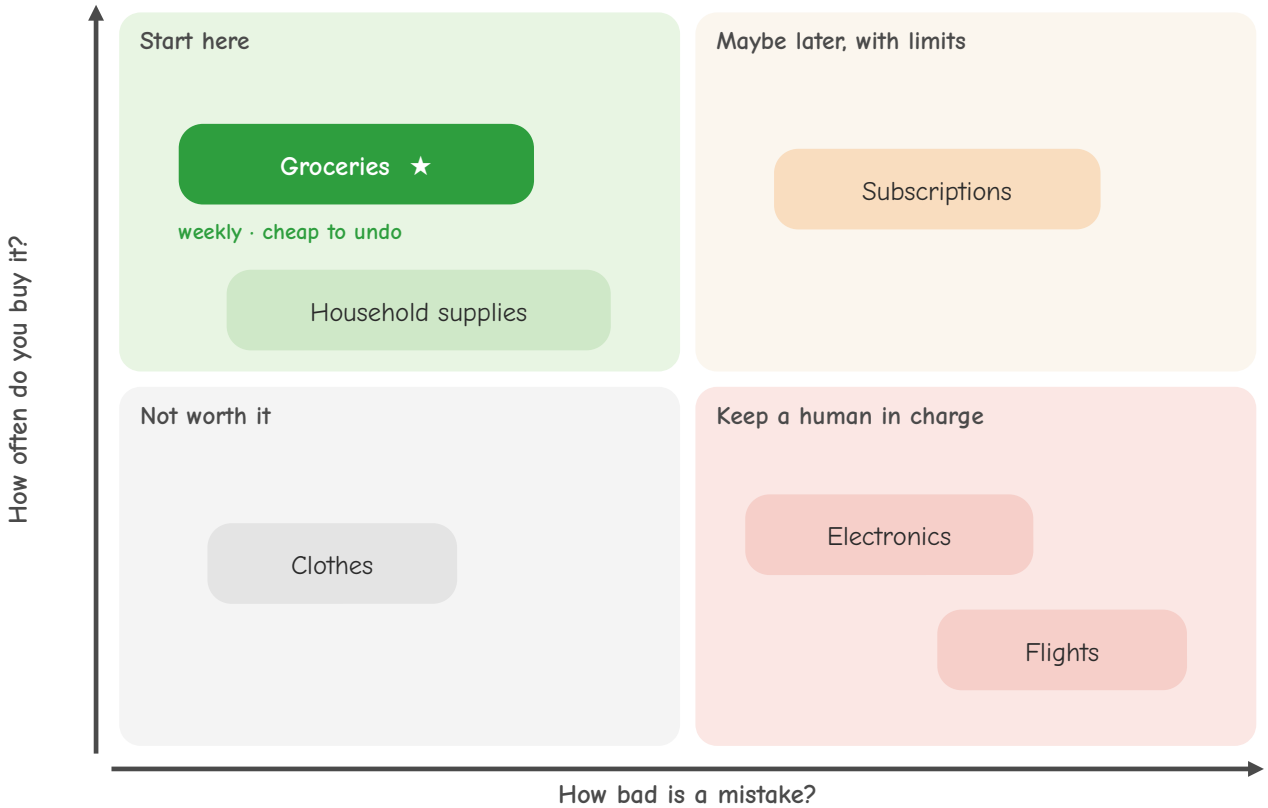
Why I think so

1. **People buy the same things again and again.** Loyal Instacart customers order about 4 times a month [1], and many say "order my usuals".
2. **The rules already exist.** Customers already tell Instacart what to do if an item is out: pick a backup, let the shopper choose, or refund. These choices are saved [2].
3. **Mistakes are cheap.** A wrong yoghurt gets refunded. A wrong flight doesn't.
4. **People are most open to it here.** Groceries came top when people were asked what they'd let an AI buy for them [3].

What I'm careful about

Most people still don't trust an agent to buy on its own (about 1 in 5 do [4]). So I'd start small: an opt-in "refill my usual basket", not "AI does all my shopping".

Where should an AI shopper start?



Groceries sit in the sweet spot: bought often, and easy to fix if the agent gets it wrong.

Sources: [1] Instacart S-1 and Q3 2023 earnings call [2] Instacart Help Center, replacements [3] Supermarket News, 2026 [4] FoodNavigator, 2026

QUESTION 2 OF 6

Should I build the flashy board demo?

The question: The product team wants a flashier feature for a board demo in 6 weeks. I think it will be thrown out in 3 months once real agents use it. Build it, or push back?

My answer

I'd build a demo, but not the throwaway feature. The board sees something built on work we're keeping anyway.

Why I think so

1. **It's a lot of our time.** Six weeks of both engineers on something I expect to bin is most of the budget.

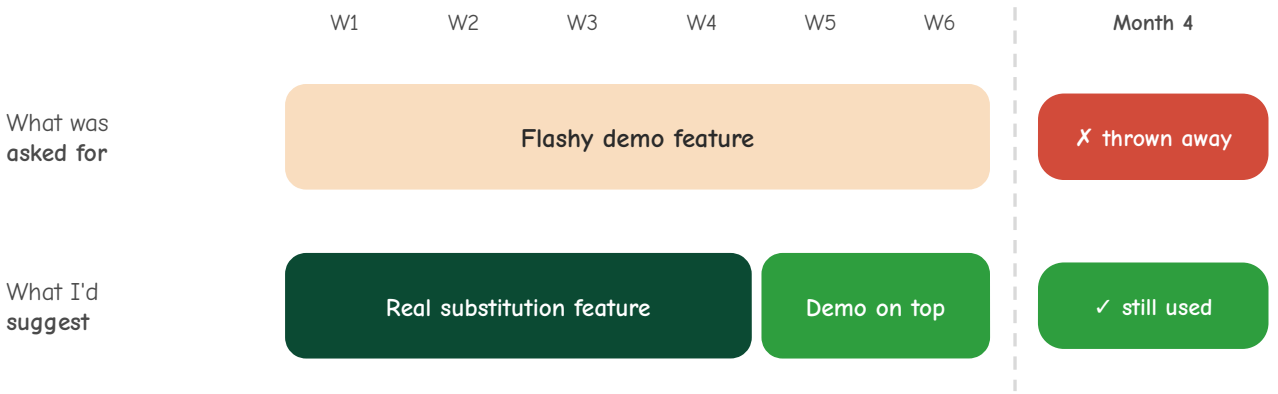
2. **Flashy agent features haven't lasted.** Chat checkout in ChatGPT (Instacart launched it first) was pulled after about 6 months [1]. Walmart said it converted about 3× worse than its own site [2].

3. **I don't want to just say no.** The team still gets a demo in week 6, so the board meeting isn't at risk.

If they still want the original

I'd write down my concern, then go with the team's call. The one thing I'd push hard on: no changes to the real API just for the demo. Fake parts stay small (about 5 engineer-days), and we tell the board which parts are scripted.

Two ways to spend the same 6 weeks



What the board would see



Everything is real except the "sold out" moment, which we script.

Sources: [1] CNBC, OpenAI changes ChatGPT shopping, 2026; Instacart ChatGPT launch, 2025 [2] Search Engine Land, Walmart ChatGPT checkout, 2026

Checkout or substitutions: which one first?

The question: 2 engineers, 4 weeks. Make the checkout API agent-readable, or the substitution-preference API agent-readable. Which one?

My answer

Substitutions. It's the part where the agent has to make a judgment call, and right now it can't.

Why I think so

1. **Checkout is mostly yes or no:** pick a slot, pay, confirm. Big players are already building ways for agents to pay (OpenAI with Stripe, Google, Visa, Mastercard) [1]. And today Claude and Gemini just hand you over to Instacart to pay [2], which works.

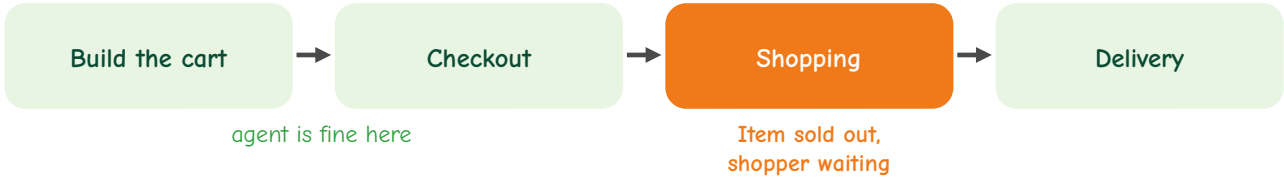
2. **Substitutions happen live,** with a shopper waiting in the aisle. A person can answer "your oat milk is out, is this one OK?". An agent can't, unless the answer is written down somewhere it can read.

3. **Agents can't see this at all today.** Instacart's public agent tools only create recipes and shopping lists [3].

What would change my mind

If an agent had no way at all to pay or hand the customer over, checkout would have to come first.

Where does an agent get stuck in an order?



Quick comparison

	Checkout	Substitutions
Agent needs to make a judgment call	✗	✓
Someone is waiting on the answer	✗	✓
Only Instacart can build it	✗	✓
Fits 2 people × 4 weeks	~	✓
Others are already solving it	✓	✗

The first four rows point to substitutions. The last row says checkout can wait.

Sources: [1] PYMNTS on Visa and Mastercard agent payments; Google on its commerce protocol, 2026 [2] Instacart × Claude and × Gemini announcements, 2026 [3] Instacart developer docs, MCP

Two agents read “quantity: 2” differently. What went wrong?

The question: Two agent platforms read “quantity: 2” differently: one orders 2 units, the other 2 packs of 1 kg wheat flour. Where could the problem be, and how would you fix it?

My answer

Mostly on our side. The API lets anyone send “2” without saying 2 of what. I'd make the unit required and have Instacart repeat back what it understood.

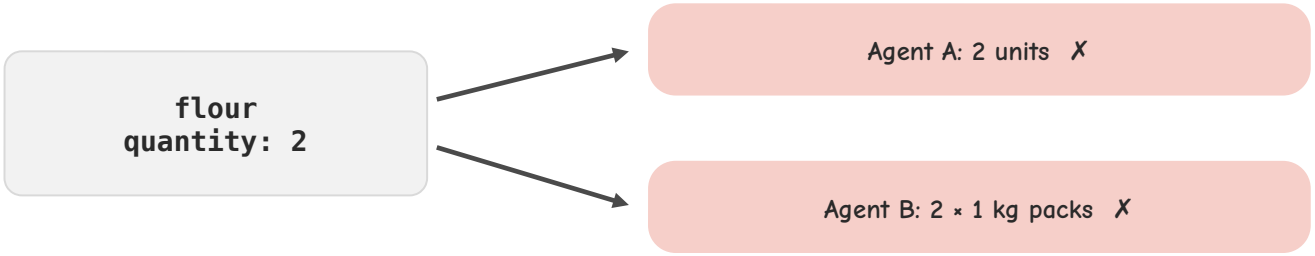
Where the problem could be (most likely first)

1. **The API field.** “quantity” is just a number and the unit is optional. Instacart itself retired this field on another API in 2026 for a similar reason [1].
2. **The catalog.** “Wheat flour 1 kg” could be one pack, loose flour sold by weight, or a multipack.
3. **The agents.** Each AI turns “2 bags of atta” into data its own way. We can't control that, so we shouldn't depend on it.

First thing I'd do

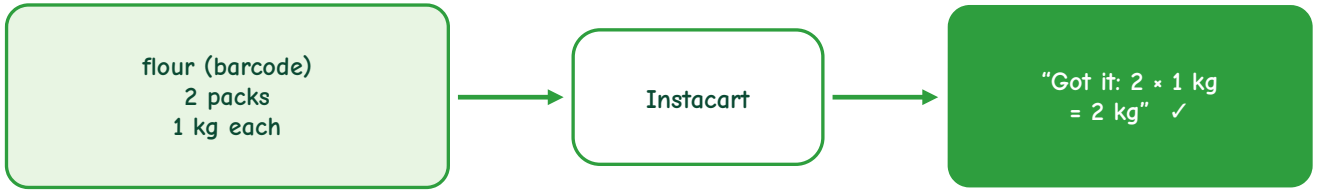
Compare the two requests in the logs. If they're the same, the problem is on Instacart's side. If they're different, it's how each agent is reading our tool description.

Today: one field, two different carts



Same request. Nobody knows which one the customer meant.

After the fix: say what you mean, hear it back



1. The unit is required: packs, kg or items
2. Products are found by barcode, not by name
3. Instacart repeats back what it understood
4. Still unclear? Ask the customer
5. A shared list of tricky products every agent partner must pass

Sources: [1] Instacart developer changelog, 2026 (quantity and unit replaced by a measurements list)

QUESTION 5 OF 6

How many orders can an agent place on its own each month?

instacart

The question: Agent orders could raise volume, but some users may complain "I didn't mean to order that", and there's no history for agent orders. What limit per user per month, and why?

My answer

4

orders a month on its own

At most 1 a week. A 5th order just needs a quick tap from the user.

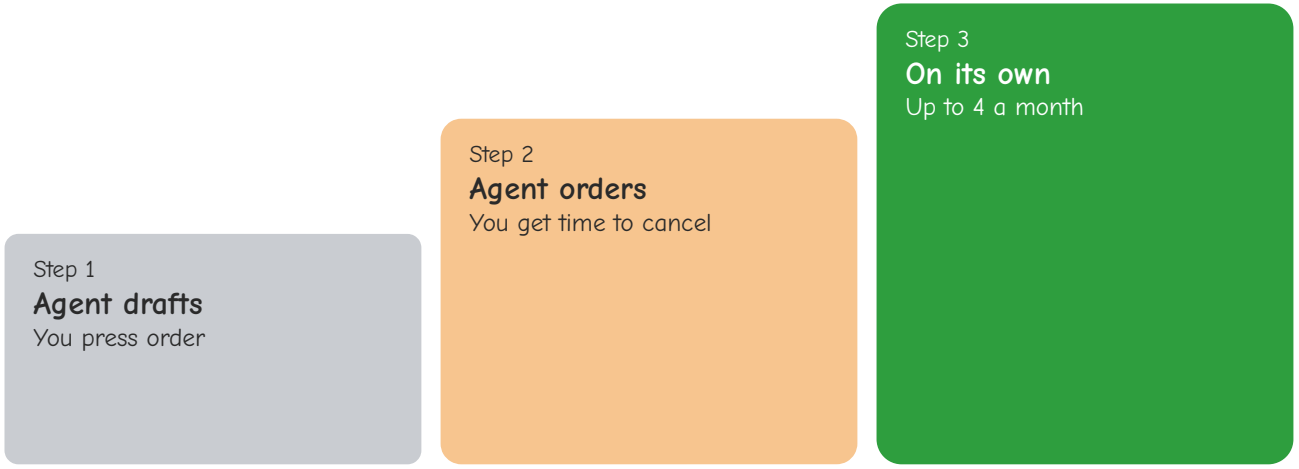
Why 4

1. **It fits a weekly shop.** Instacart's most loyal customers order about 3.9 times a month [1]. Most people would never hit the limit.
2. **Hitting it is a warning sign.** A 5th order is unusual, and unusual is where "I didn't mean to order this" comes from.
3. **It doesn't cost sales.** The 5th order still goes through, the user just confirms it.
4. **The weekly rule catches bugs.** If an agent gets stuck in a loop, it's stopped at order 2, not order 4.

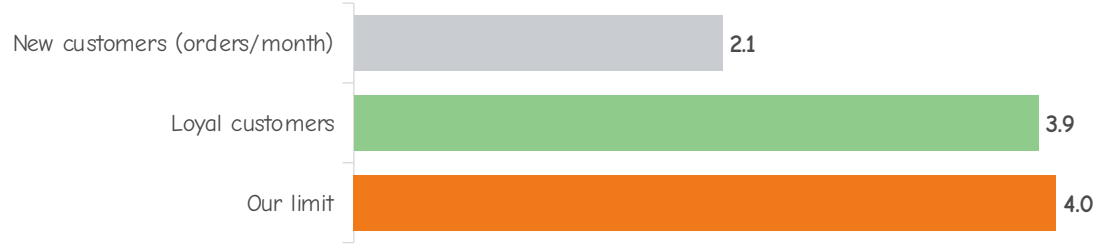
Why I'm being careful

Instacart paid $60M to settle an FTC case in 2025, partly over charging people without clear consent [2]. Agent orders must be something the user clearly agreed to.

With no history, trust is earned step by step



Move up a step only when "I didn't mean to order this" complaints stay very low. I'd add that as a button in the app so we can actually count it.



Sources: [1] Instacart S-1 and Q3 2023 earnings call [2] FTC press release on Instacart, 2025

QUESTION 6 OF 6

“Should we be worried?” What I'd tell the client

The question: A competitor's agent project stalls publicly after four months (bad press, the client blames its consultants). Our Instacart contact asks: “Will this happen to us?”

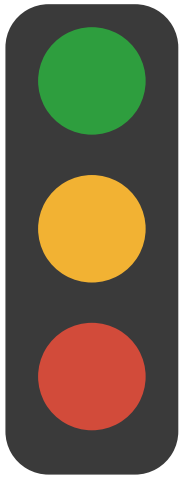
What I'd say

“Honestly, a little, yes. Their project stalling tells us this is hard, but it doesn't tell us why theirs stopped, and I don't want to guess. What I can do is show you what could go wrong for us, what we're doing about each one, and the points where we'd pause. If we hit one, you'll hear it from me first.”

What could go wrong for us, and what we're doing

Building something flashy nobody uses	→ Start with substitutions, demo on top (Q2, Q3)
Customers saying “I didn't order this”	→ Slow trust steps and a monthly limit (Q5)
Agents misreading our API	→ Required units and read-back (Q4)

When we'd slow down or pause (agreed upfront)



Keep going

Agent orders have no more problems than normal orders

Slow down

“Didn't mean to order” complaints start creeping up

Pause

Complaints pass the agreed limit, or a quantity mix-up reaches a shopper

Being honest about our own uncertainty

We know

Instacart's order quality keeps improving, and agents already work on ChatGPT, Claude and Gemini.

We don't know yet

How often agent orders are unwanted, and how many people want this. Only about 1 in 5 trust agents to buy [1].

I'd also keep a simple shared log of decisions and assumptions, so if something goes wrong we can see why instead of pointing fingers. Source: [1] FoodNavigator, 2026

How it all fits together

The six answers aren't separate. Each step gives us what we need for the next one.

Weeks 1–4
Substitutions first
Agents can read and set replacement rules

Weeks 5–6
Board demo
The oat-milk story, built on the real feature

Weeks 7–12
Fix quantity + drafts
Required units, read-back, agents draft orders

Month 4+
Agents order alone
Up to 4 a month, if the numbers look good

How I'd know it's working

1. **Orders delivered with no edits and no complaints**
   the main number to grow
2. **"I didn't mean to order this" rate**
   should stay very low
3. **Problems with agent orders vs normal orders**
   should be the same or better

What I learned doing this

The hard part isn't the AI. It's the small decisions a good shopper makes without thinking.

Sources

- Instacart S-1 (2023) and Q3 2023 earnings call: order frequency
- Instacart Help Center: item and replacement instructions
- Supermarket News: AI agents gaining the most trust with grocery shoppers (2026)
- FoodNavigator: grocery shoppers use AI, but trust in AI buying agents lags (2026)
- Instacart: app launches in OpenAI ChatGPT (2025)
- CNBC: OpenAI revamps ChatGPT shopping after Instant Checkout (2026)
- Search Engine Land: Walmart says ChatGPT checkout converted 3× worse (2026)
- Instacart × Claude and Instacart × Gemini announcements (2026)
- Instacart developer docs: MCP tools and changelog (2026)
- PYMNTS: Visa and Mastercard agent payments; Google commerce protocol (2026)
- FTC: Instacart to pay $60 million in consumer refunds (2025)